

Novozymes' SDG-Aligned Strategy and ESG Performance (Deep-Dive Slides)

Slide 1: Pioneering SDG-Driven Strategy

One-line Summary: Novozymes transformed sustainability from a side-effort into a core growth driver by aligning its strategy with the UN SDGs early on.

- **Early Integration of SDGs:** In 2015, Novozymes embraced the UN Sustainable Development Goals even **before** their formal launch – breaking down the 17 goals into actionable sub-targets with metrics to **prioritize its innovation pipeline** ¹. This proactive approach positioned Novozymes as a sustainability leader, using the SDGs as a “crystal ball” for future business opportunities ².
- **Ambitious 2015–2020 Targets:** The company set six bold sustainability targets tied to its purpose – e.g. reaching 6 billion people with its biological solutions, educating 1 million people about biology, catalyzing 5 global partnerships, delivering 10 transformative innovations, **saving 100 million tons CO₂**, and enabling all employees' development by 2020 ³. These targets linked societal impact with business growth.
- **Governance & Culture Shift:** Novozymes **dissolved its standalone sustainability board** and elevated sustainability governance to the Board of Directors and Executive Team ⁴. Sustainability became a top business priority managed at the highest level. The company also created an executive sustainability board (with VPs from each function) and tied a portion of **employee bonuses to sustainability goals** to drive accountability ⁵.
- **“Rethink Tomorrow” Vision:** With the vision of “changing the world,” Novozymes integrated sustainability into every corner of operations – from R&D and sourcing to sales and marketing ⁶. Life-cycle assessments (LCAs) were used with customers to **quantify environmental benefits** of Novozymes' enzymes, helping customers market their own sustainability gains ⁷. This **strategic repositioning** made sustainability a key value proposition and growth engine, not just a compliance effort.

Strategic Implication (E/S/G): **By embedding SDGs into strategy and incentives, Novozymes set a precedent in leveraging ESG for innovation and competitive advantage, ensuring sustainability is entrenched in both leadership and daily operations.**

Slide 2: Environment – Climate Action & Sustainable Operations

One-line Summary: Novozymes (now part of Novonesis) is aggressively cutting emissions and greening operations, aligning with 1.5°C targets while promoting biodiversity and sustainable sourcing.

- **Science-Based Climate Targets:** Novozymes commits to **net-zero GHG emissions by 2050** across its value chain (2018 base year). Interim 2030 goals include a 75% reduction in Scope 1 & 2 emissions and 35% reduction in key Scope 3 emissions (e.g. purchased goods, transport) ⁸. These targets are validated to a 1.5°C scenario under SBTi guidelines ⁹ ⁸.
- **Decarbonization Progress:** The company is well ahead on carbon reduction. By 2024, it had cut **Scope 1 and 2 GHG emissions by ~63%** (market-based) from the 2018 baseline while continuing to grow the business ¹⁰ ¹¹. It achieved **~100% renewable electricity** (target by 2025) and

implemented extensive energy efficiency projects (heat recovery, process optimizations) to ensure “the cleanest MWh is the one not used” ¹² . In total, **Scope 1+2+3 emissions fell 11%** vs 2018, demonstrating solid progress ¹³ . (Left chart: GHG emissions trajectory 2018–2024, showing steep decline in Scope 2 due to renewables)

- **Biodiversity & Nature:** As a biology-based company, Novozymes upholds high standards for **nature and biodiversity protection**. It endorsed the UN Convention on Biological Diversity and the Global Biodiversity Framework, committing to **no negative impact on biodiversity-sensitive areas** near its sites ¹⁴ ¹⁵ . In 2024, it developed a biodiversity risk assessment methodology and found 26 sites within 5 km of key biodiversity areas, for which it is initiating site-specific biodiversity plans ¹⁶ ¹⁷ . The company also fights deforestation in its supply chain – **requiring suppliers not to contribute to deforestation**, e.g. by using certified sustainable palm oil (Novozymes is an RSPO member) ¹⁸ ¹⁹ .
- **Sustainable Raw Materials & Resource Efficiency:** Novozymes depends on agricultural raw materials (like corn, soy, etc.) and water for its enzyme production. To ensure sustainability and resilience, it works closely with suppliers on environmental standards and is prepared to **substitute critical raw materials** if needed ²⁰ . It has strict supplier Code of Conduct requirements on environmental protection and human rights ¹⁹ . By pursuing deforestation-free sourcing and reducing dependencies on single suppliers ²¹ ²² , Novozymes mitigates raw material risks. Its **biosolutions also help customers save resources** (e.g. enzymes that reduce energy, water, and chemical use in industrial processes) ²³ ²⁴ , amplifying its environmental impact beyond its own operations.

Strategic Implication (E): **Novozymes’ climate leadership (rapid emissions cuts and 100% green power) enhances its credibility in a low-carbon economy, while its proactive stance on biodiversity and sustainable sourcing reduces environmental risks and differentiates its products as “planet-positive” solutions.**

Slide 3: Social – People, Inclusion & Stakeholder Value

One-line Summary: Novozymes fosters an inclusive, responsible culture – investing in its people, communities, and value-chain relationships to drive sustainable growth.

- **Diversity, Equity & Inclusion: DE&I is central** to Novozymes’ purpose and innovation culture. The company aims for **gender parity by 2030** (50% women across the workforce) and has set targets for leadership diversity ²⁵ . At the Board level, Novozymes established a goal of at least 40% women and 40% men among shareholder-elected directors; as of end 2024 it had not yet met its own 40% female target but was in compliance with Danish gender diversity requirements ²⁶ . Internally, it promotes “diversity of thought” and an inclusive environment where all voices are valued ²⁷ ²⁸ . (Left suggestion: Chart of workforce gender diversity trend or a graphic of diversity target)
- **Employee Well-being & Development:** The company emphasizes **employee development and safety**. It has initiatives for continuous learning (echoing its 2015–20 target to “enable employees to develop” ²⁹) and maintains strict safety standards (Lost-Time Injury rate is tracked and tied into ESG goals ³⁰). An inclusive culture and strong engagement (e.g., aiming >80% employee engagement score, per peer DSM-firmenich’s benchmark ³¹) help Novozymes attract and retain top talent in STEM fields, fueling innovation.
- **Community Engagement & Social Contribution:** Rooted in its purpose of “Unlocking the magic of nature”, Novozymes has long invested in **community education and outreach**. Notably, it met its 2015–2020 goal of educating over 1 million people about biology ³² – a testament to its social commitment. The company often partners with NGOs, schools and global initiatives to share knowledge in biotechnology and sustainability. (For instance, it catalyzed global partnerships to

advance the SDGs, hitting a target of 5 partnerships by 2020 ³³.) Current social contributions also include employee volunteering and supporting local communities around its production sites, reinforcing its license to operate.

- **Customers & Supply Chain Relationships:** Novozymes takes a collaborative, responsible approach across its value chain. It engages customers by aligning its solutions with **customers' sustainability goals** – e.g. providing data on carbon footprint reduction or energy savings achieved with Novozymes' enzymes, which helps customers market more sustainable products ⁷. In the upstream supply chain, the company enforces a **strict Business Partner Code of Conduct** requiring suppliers to uphold labor rights, fair working conditions, and zero tolerance for child or forced labor ³⁴. Suppliers must undergo ESG questionnaires and audits to ensure compliance ³⁴. This not only manages social risks (e.g. avoiding human rights violations in sourcing ³⁵) but also builds stronger partnerships. Novozymes' focus on shared value – helping suppliers improve and helping customers achieve sustainability – strengthens long-term relationships and trust across the supply chain.

Strategic Implication (S): **By championing diversity, employee development, and ethical partnerships, Novozymes cultivates a workforce and value chain that are both loyal and high-performing. This social focus drives innovation (through diverse perspectives) and secures stakeholder trust, which ultimately supports sustained business growth.**

Slide 4: Governance – Responsible Leadership & ESG Integration

One-line Summary: Strong governance at Novozymes underpins its ESG strategy – from board oversight and risk management to ethics and incentive alignment.

- **Board Structure & ESG Oversight:** Novozymes' Board of Directors actively steers the sustainability agenda. Sustainability is governed at the top – the Board and executive leadership are directly accountable for ESG performance ³⁶. The board periodically updates its competency profile to address emerging challenges, ensuring directors have expertise in areas like climate, biotech, and global markets ³⁷. There are ambitious **board diversity policies** (40% gender balance target) and the firm discloses board composition, independence, and skill matrices in line with corporate governance best practices ³⁸. This reflects a commitment to well-rounded and effective oversight.
- **ESG-Linked Remuneration:** Aligning incentives with sustainability is a hallmark of Novozymes' governance. The company was early to **tie management bonuses to sustainability KPIs** (dating back to mid-2010s) ⁵, and it continues to integrate ESG targets (like carbon reduction, safety, DE&I metrics) into executive remuneration and performance evaluations ³⁰. This ensures that leadership decisions consistently balance financial and ESG goals.
- **Risk Management & Compliance:** Novozymes employs robust risk management processes that encompass ESG risks. Key risks – such as **climate-related costs (carbon pricing, energy volatility)**, raw material supply disruptions, or regulatory changes – are identified and proactively mitigated. For example, to address energy/raw material price volatility driven by geopolitical or climate factors, Novozymes **monitors critical raw material markets and reduces reliance on single sources** ³⁹. It also assesses physical climate risks (e.g. water scarcity at production sites) and has contingency plans to ensure operational resilience ⁴⁰ ⁴¹. The recent **Double Materiality Assessment (2024)** helped the company map financial vs. impact material ESG issues to refine strategy ⁴².
- **Ethical Management & Integrity:** A strong ethical culture is enforced through comprehensive codes and policies. Novozymes has both an **Employee Code of Conduct** and a **Business Partner Code of Conduct**. Employees receive clear guidance on acting with integrity, and a “speak-up” culture is encouraged (whistleblower systems) to report any misconduct ⁴³. For partners and

suppliers, the code demands high standards in anti-corruption, human rights, and environmental care ¹⁹ ⁴⁴ . Executive management, particularly the COO, is tasked with implementing these codes across the value chain ⁴⁵ . Moreover, Novozymes adheres to data ethics principles and new regulations (e.g. EU data and sustainability directives), demonstrating transparency and accountability ⁴⁶ .

- **ESG Governance Structure:** Post-merger into Novonesis, the company continues its governance excellence with a **unified sustainability strategy (“People. Planet. Positive.”)** and integrated reporting under EU CSRD. ESG topics (climate, biodiversity, DE&I, etc.) are managed through cross-functional teams and ultimately overseen by the Executive Leadership Team ⁴⁷ ⁴⁸ . This integrated approach ensures ESG is not siloed – it’s embedded in core business strategy, budgeting, and enterprise risk management.

Strategic Implication (G): **Novozymes’ governance – characterized by top-level commitment, transparent accountability, and aligned incentives – creates a strong foundation for long-term value. By institutionalizing ESG into how the company is led and controlled, Novozymes mitigates risks and secures stakeholder confidence, enabling bold strategic moves (like the Chr. Hansen merger) with sustainability at the forefront.**

Slide 5: SDGs and Business Strategy – Evolution of Alignment

One-line Summary: Novozymes has continually strengthened the link between its products and the UN SDGs, moving from early adoption to a measurable impact on global goals.

- **Core SDG Focus Areas:** Novozymes identified the UN SDGs that align most with its business scope – notably **SDG 2 (Zero Hunger), 3 (Good Health & Well-being), 6 (Clean Water), 7 (Affordable Clean Energy), 12 (Responsible Consumption & Production), and 13 (Climate Action)**. These six goals encompass food security, health, water, energy, sustainable industry, and climate – all areas where Novozymes’ enzyme and microbial solutions contribute.
- **SDG Alignment in Sales:** By 2024, an impressive **83% of Novozymes’ sales are documented to align with at least one of these six SDGs** ⁴⁹ . (Example: Enzymes for efficient agriculture support SDG2, biologics replacing chemicals support SDG12/13, etc.) The company conducts an annual portfolio assessment mapping each product’s benefits to SDG targets ⁵⁰ . (Left visual idea: Pie chart of % revenue aligned to SDGs, or icons of the six priority SDGs with key product examples)
- **Deepening Integration (2015 vs Now):** In the mid-2010s, Novozymes treated the SDGs as a strategic **north star** – using them qualitatively to inspire innovation and set broad targets ¹ ² . Today, the linkage is more **quantitative and outcome-driven**: the company not only designs products to address SDG challenges but also measures and reports the tangible impact (e.g. CO₂ reductions achieved, people reached, water saved). The evolution shows a shift from commitment to action: earlier goals (2015–20) were internal changes and pilot projects, whereas now SDG alignment is embedded in **every new product development decision and market strategy**.
- **No Major Shifts – Only Reinforcement:** The connection between SDGs and Novozymes’ business has been consistently strong; rather than changing direction, the company has **reinforced** this alignment. For instance, targets like reaching millions with education (SDG4 quality education) have matured into ongoing community programs. Climate action (SDG13) remains a cornerstone, now underpinned by science-based targets and a climate action plan. If anything, the merger forming Novonesis has broadened the scope (adding Chr. Hansen’s probiotic and food culture business) but still under the same SDG umbrella. The SDGs continue to serve as a framework to communicate Novozymes’ impact to stakeholders and to ensure its growth areas (e.g. biofuels enzymes, animal feed probiotics, sustainable detergents) directly contribute to global priorities.

Strategic Implication: **Novozymes’ sustained SDG alignment illustrates how a clear purpose can guide portfolio evolution. By keeping business strategy tethered to the SDGs, Novozymes ensures relevance in addressing global challenges, opening new markets and partnership opportunities (with governments, NGOs, etc.) for solutions that advance these goals.**

Slide 6: ESG Ratings & External Recognition

One-line Summary: External ESG ratings consistently rank Novozymes among industry leaders, though recent updates reflect its merger context – the company remains a top-performer in sustainability indices.

- **MSCI ESG Rating:** Novozymes has historically achieved the top **MSCI ESG rating of AAA** (Leader status) ⁵¹, reflecting its resilience to material ESG risks. In the latest 2025 assessment, it holds an **AA** rating ⁵² – still in the leader range, indicating robust ESG performance and governance (the slight shift may be due to methodology changes or integration of the new combined entity’s data). Notably, peer dsm-firmenich is also rated AA by MSCI ⁵³, highlighting Novozymes’ parity with best-in-class sustainability peers post-merger.
- **Sustainalytics Risk Score:** Morningstar Sustainalytics considers Novozymes to be at “**Low ESG Risk**” with a risk score around **15** (on a scale where lower is better) ⁵¹. This places Novozymes among the top performers in the specialty chemicals/biotech sector, indicating that the company’s ESG issues are well-managed and unlikely to pose serious financial risks. (For context, dsm-firmenich is likewise in the low risk category and made it to Sustainalytics’ Top-Rated ESG Companies list ⁵⁴.)
- **CDP Scores:** Novozymes consistently ranks on **CDP’s Climate Change A-List**, earning an “A” score for climate disclosure and action ⁵⁵. This accolade (achieved by only a small fraction of companies globally) recognizes Novozymes’ comprehensive climate strategy and transparency. In CDP Water Security, Novozymes received a respectable “B” score ⁵⁵, showing solid water management, with room to strive for the A level. (Left suggestion: Display MSCI AA logo, Sustainalytics “Low Risk” badge, CDP A list icon, etc.)
- **Other Ratings & Indices:** The company is included in major ESG indices and ratings: for example, it’s part of **FTSE4Good** and has earned **EcoVadis Gold** ratings in the past (indicating top 5% performance globally, similar to dsm-firmenich’s current status ⁵⁶). It meets **ISS ESG “Prime”** status via strong governance practices, and is a longstanding UN Global Compact signatory ⁵⁷. Novozymes (pre-Novonesis) and Chr. Hansen have also frequently appeared in Corporate Knights’ Global 100 Most Sustainable Corporations rankings (Chr. Hansen was ranked #1 globally in 2019 ⁵⁸, and Novozymes has regularly featured in the top tier).
- **Trend and Changes:** The overall trend for Novozymes’ external ratings is **stable leadership**. The slight downgrade from AAA to AA by MSCI in 2025 is minor and possibly transient – it still **outperforms most industry peers**. The company’s transparency in reporting (now aligned with EU CSRD) and ongoing improvements (e.g. aiming for CDP Water “A” in the future) suggest it will continue to be favorably viewed. Rating agencies consistently highlight Novozymes’ strengths in **carbon management, product innovation for sustainability, and strong governance/ethics**. There are no major controversies dragging its scores down, evidencing Novozymes’ careful risk management of ESG issues.

Strategic Implication: **High ESG ratings validate Novozymes’ strategy and enhance its reputation, which can lower capital costs and attract sustainability-focused investors. The external recognition also provides a competitive edge in B2B markets where customers increasingly prefer suppliers with proven ESG credentials.**

Slide 7: Key ESG Risks and Response Strategies

One-line Summary: Novozymes proactively identifies its most material ESG risks – from climate and supply chain to product safety – and implements robust strategies to mitigate them and capitalize on opportunities.

- **Climate Change Risks:** As a manufacturing and biotech company, Novozymes faces both **transition risks** (e.g. carbon pricing, rising energy costs) and **physical risks** (e.g. extreme weather, water scarcity at production sites) due to climate change. To mitigate transition risk, Novozymes is **ahead of regulations** – its aggressive emissions cuts and efficiency efforts position it well against future carbon taxes or stricter climate laws. It also engages in policy advocacy for climate action, turning risk into opportunity by showcasing how its enzymes enable **customers to reduce their own emissions** (potentially monetizing carbon savings). Physical climate risks are managed via scenario analyses and adaptation measures: for instance, sites in water-stressed areas have initiatives to reduce water intensity and secure water sources ⁵⁹. Business continuity plans account for extreme weather events, and the geographic diversity of production adds resilience.
- **Raw Material & Supply Chain Risks:** A significant risk is **volatility in raw material prices and supply disruptions** (e.g. fluctuations in agricultural feedstocks like corn, or energy inputs) ⁶⁰. Novozymes addresses this by **hedging and diversification** – it works on alternative raw materials to substitute if a key input becomes scarce or costly ⁶¹, and reduces dependency on any single supplier or region ²². Another risk is **supply chain sustainability issues**: deforestation, or labor/human rights abuses at suppliers (since it sources agricultural commodities globally). The company's response is a stringent **Responsible Sourcing program**: suppliers must adhere to its code of conduct (covering no child/forced labor, no deforestation, safe working conditions) ³⁴. Novozymes conducts supplier ESG assessments and has terminated or worked with suppliers to correct issues when standards aren't met. These actions mitigate reputational and operational risks in the supply chain. (Visual idea: supply chain risk map or icons for climate, supply chain, etc.)
- **Product Stewardship & Regulatory Risks:** Novozymes' enzymes are subject to chemical and biotech regulations worldwide. A risk exists in **changing regulations** – e.g. the EU's evolving chemical safety rules (one note: certain enzyme dusts are classified as respiratory sensitizers) ²³. To manage this, Novozymes invests in **product safety testing, transparent labeling, and regulatory engagement**. It stays ahead of compliance by working closely with regulators and industry bodies. The company also innovates to reduce any hazardous aspects (for example, developing granulated enzyme formulations that minimize dust inhalation). By ensuring its products meet or exceed safety and sustainability standards (many Novozymes solutions enable safer, eco-friendlier end-products), it turns regulatory pressure into a market advantage.
- **Human Capital & Cultural Risks:** Maintaining a strong innovation culture is critical – risks include talent attrition, lack of skills, or incidents harming employee trust. Novozymes mitigates these through its **people-centric approach**: offering continuous learning, clear career paths, and a mission-driven workplace that appeals to employees' values. It tracks engagement closely (aiming for top-tier engagement scores) and fosters inclusion to unlock creativity. Additionally, health and safety risks are rigorously managed – with a target to minimize injuries (the company continuously drives down its TRIR, Total Recordable Incident Rate) and robust safety protocols in labs and plants. A highly engaged, safe workforce reduces operational risk and ensures business continuity.
- **Ethics & Governance Risks:** Reputation can be quickly damaged by any ethical lapse or compliance failure. Novozymes addresses this with a **zero-tolerance stance on corruption** and strong internal controls. All employees and partners are trained on the Code of Conduct; there are whistleblower channels and regular audits. Novozymes has not faced major scandals, indicating its compliance systems are effective. Cybersecurity and data privacy are emerging areas of risk as

well – the company’s data ethics policy and IT security investments aim to safeguard intellectual property and personal data, preventing incidents that could disrupt operations or erode stakeholder trust ⁴⁶ .

- **Opportunity Side of Risk:** It’s worth noting that Novozymes views many ESG risks also as opportunities. For example, the risk of customers seeking lower-carbon solutions is an opportunity for Novozymes to provide exactly those solutions (e.g. enzymes that allow lower energy consumption). Similarly, tighter food safety or environmental regulations can increase demand for Novozymes’ biological alternatives. By aligning its R&D pipeline with global sustainability challenges, Novozymes turns risk into innovation impetus – ensuring that as the world’s needs and rules change, it is part of the solution.

Strategic Implication: **Novozymes’ proactive risk management in ESG domains not only protects the company but also positions it to seize new opportunities (e.g. green products, new markets). This balanced offense-defense approach strengthens its resilience and keeps it ahead of competitors who might be slower to address these material ESG issues.**

Slide 8: Benchmarking Peers – ESG Strategy Comparison

One-line Summary: Novozymes leads on ESG, but peers like Chr. Hansen and DSM-firmenich share similar sustainability DNA – all integrating ESG deeply, with nuanced differences in focus areas.

- **Leadership in Common:** Novozymes and its close competitors (e.g. **Chr. Hansen** and **DSM-Firmenich**) are all **sustainability frontrunners** in the biotech/ingredients industry. Each has **science-based climate targets, high ESG ratings, and a clear link between products and global challenges**. For instance, Chr. Hansen (another Danish biosolutions firm, now merged with Novozymes) had **~82% of its revenue directly contributing to the UN SDGs** ⁵⁸ – almost mirroring Novozymes’ ~83% sales aligned with SDGs. Both companies scored 100% on “clean revenue” metrics, meaning the bulk of their products have inherent sustainability benefits ⁵⁸ . Likewise, DSM (now dsm-firmenich) has a strong ESG profile: an **MSCI ESG rating of AA** ⁵³ , **EcoVadis Gold** (top 5%) ⁵⁶ , and **Sustainalytics low risk** status ⁶² , comparable to Novozymes’ standing. All three companies are constituents of indices like FTSE4Good and have been featured in Global 100 rankings for sustainability excellence. (Visual: table comparing Novozymes, Chr. Hansen, DSM on ESG ratings and key targets)
- **Climate & Environment:** In climate action, **all invest heavily in decarbonization**. Novozymes has a more aggressive near-term cut (75% Scope1+2 by 2030 ⁸) whereas DSM-Firmenich targets 42% by 2030 from a 2021 baseline ⁶³ – both aligning to 1.5°C. A point of differentiation: Novozymes achieved renewable electricity faster (targeting 100% by 2025 ⁶⁴), whereas DSM-Firmenich (a larger entity) may take slightly longer to hit 100%. In **product environmental focus**, Novozymes emphasizes industrial process efficiency (e.g. enzymes for energy-saving in detergents, biofuels, etc.), while Chr. Hansen historically focused on natural food preservation, reducing food waste, and probiotics for sustainable agriculture ⁶⁵ . These align with the same goals (climate, sustainable agriculture) but via different product domains.
- **Social & Product Impact:** **Chr. Hansen and Novozymes both credit their sustainability success to linking product innovation with societal needs**. Chr. Hansen explicitly tied its strategy to contributing to global issues like food waste reduction, antibiotic-free farming, and nutrition for a growing population ⁶⁶ . Novozymes similarly targets industries to make them cleaner (e.g. textile enzymes to replace harsh chemicals, animal feed enzymes to reduce resource use). On social dimensions, all peers invest in D&I and community projects. Novozymes and DSM share a trait of ambitious **nutrition or education initiatives**: DSM set a goal to reach 1 billion people with micronutrient solutions by 2030 ⁶⁷ , while Novozymes educated 1 million in biology by 2020 and continues STEM outreach. A difference: DSM-Firmenich, being active in nutrition and pharma

ingredients, stresses health impacts and has specific social goals (like eliminating nutrient deficiencies), whereas Novozymes traditionally stressed environmental and efficiency contributions (though now with Chr. Hansen, health and probiotics join its portfolio).

- **Governance & Incentives:** All companies exhibit **strong governance practices**, but Novozymes was notably early in tying ESG to compensation and forming dedicated sustainability boards ⁵. DSM and Chr. Hansen followed suit over time – today it’s standard for peers to link executive pay to ESG (DSM-Firmenich, for example, ties a portion of pay to sustainability targets like GHG reduction and safety). Board diversity is a focus across the board: Chr. Hansen and Novozymes have both had women in top leadership (Chr. Hansen’s board chair in 2019 was female ⁶⁸, and Novozymes targets 40% female directors). Minor differences may exist in governance structure due to size (DSM-Firmenich, being larger post-merger, has a two-tier board system and formal stakeholder committees, whereas Novozymes had a more agile setup), but all emphasize transparency and ethics.
- **Unique Differentiators:** One differentiator is portfolio scope: Novozymes (with Chr. Hansen) is now almost purely focused on biological solutions, making **sustainability the core of its business model** (every product is aimed at a sustainable outcome). Some competitors like large chemical companies (e.g. **BASF** or **IFF**, which acquired DuPont’s enzyme unit) have broader portfolios where enzymes are one segment – those players might not integrate SDGs as deeply into overall corporate strategy. Thus, Novozymes stands out by having **sustainability as its raison d’être** more explicitly. Another differentiator is communication: Novozymes is very vocal about SDGs in strategy, whereas peers might frame their sustainability in other terms (DSM uses “People, Planet, Profit” and now “People, Planet, Performance” themes). However, in practical terms, the **ESG strategies are more similar than different** among these leaders: all set rigorous environmental targets, drive social responsibility in operations and supply chains, and maintain top-tier governance. It’s a case of **co-leading** the industry towards sustainable biotech solutions, often collaborating in coalitions (e.g. all are UN Global Compact members and engage in industry sustainability alliances).

Strategic Implication: **The benchmark shows Novozymes is on par with the best in class – any company aiming to match or exceed Novozymes must equally embed sustainability into its core business. The slight nuances in focus (climate vs. health emphasis) suggest that Novozymes could seek opportunities in areas peers excel (e.g. nutritional impact), while leveraging its pure-play sustainability focus as a unique selling point. Overall, the convergence of ESG strategies among top competitors raises the bar for the industry: continuous innovation in sustainability will be required to maintain leadership.**

Slide 9: Strategic ESG Takeaways for Novozymes

One-line Summary: Novozymes’ SDG-based strategy yields key lessons: integrating ESG deeply drives innovation and resilience, but staying a leader means constantly raising the sustainability ambition.

- **Environmental (E) Implication:** “Business-Driven Climate Leadership.” Novozymes demonstrates that setting **ambitious climate and environmental targets** (net-zero, biodiversity safeguards) can spur innovation (new low-carbon solutions) and efficiency gains. The company’s success suggests that **going big on sustainability can unlock competitive advantages** – e.g. cost savings from energy efficiency, preferential treatment by eco-conscious customers, and future-proofing against regulations. Firms should integrate environmental goals with product strategy (as Novozymes did by aligning enzymes to reduce customers’ footprint) to create a reinforcing cycle of commercial and environmental benefits.
- **Social (S) Implication:** “People and Partnerships as Value Creators.” Novozymes’ focus on its people (DE&I, safety, development) and communities (education, partnerships) illustrates that

investing in human capital and stakeholder relationships pays off. A diverse and engaged workforce drives creativity and problem-solving, crucial for a science company. Likewise, robust partnerships up and down the value chain (suppliers, customers, NGOs) broaden impact and trust. The strategic takeaway is to **embed purpose and values in the corporate culture** – when employees and partners believe in the mission (e.g. solving global challenges), they collectively propel the business forward.

- **Governance (G) Implication:** “Embed ESG in Decision-Making Architecture.” Novozymes’ governance approach – from board oversight to tying bonuses to ESG – underscores that **accountability and leadership commitment are vital for ESG success.** By weaving sustainability criteria into how the company is steered and evaluated, Novozymes ensures no trade-off between financial and ESG performance. The lesson for others is to **hard-wire ESG into corporate governance** (clear oversight, risk management, transparency) so that it endures changes (like mergers or market downturns). This also signals credibility to investors and stakeholders, sustaining support for the long term.
- **Holistic Strategy:** Ultimately, Novozymes exemplifies a **strategic balance:** it pursues profit and purpose simultaneously by using the UN SDGs as a guiding framework. This **clarity of mission** has aligned its R&D, operations, and market approach toward solving real-world problems – which in turn secures its market relevance and opens growth avenues. As ESG expectations rise globally (from regulators, investors, consumers), Novozymes’ case shows that those who move early and decisively can shape standards and reap the benefits. Future success will depend on continuously raising the bar (e.g. regenerative agriculture inputs, circular bioeconomy solutions) and transparently demonstrating impact. Novozymes’ journey thus offers a road map for leveraging sustainability not as a cost, but as a **strategic opportunity** to drive innovation, differentiation, and long-term value creation.

Final Note: In a world increasingly driven by sustainability, Novozymes’ UN SDG-based strategy stands as a **best-practice benchmark** – its experience reinforces that **aligning corporate strategy with global goals is not just altruism, but smart business strategy** that future-proofs the company and contributes to a better planet ¹ ². Every slide of this deep-dive reinforces the central message: **Novozyms wins by making the world better – a powerful model for strategic ESG integration.**

¹ ² ³ ⁴ ⁵ ⁶ ⁷ ²⁹ ³² ³³ ³⁶ [개인사례발표 주제] passion and strategy.pdf

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⁴³ ⁴⁴ ⁴⁵ ⁴⁶ ⁴⁷ ⁴⁸ ⁴⁹ ⁵⁰ ⁵⁷ ⁶⁰ ⁶¹ ⁶⁴ backend.novonesis.com

https://backend.novonesis.com/sites/default/files/document/2025-02/Novonesis_Annual_Report_2024.pdf

³¹ ⁵³ ⁵⁴ ⁵⁶ ⁵⁹ ⁶² ⁶³ ⁶⁷ Sustainability

https://sustainability.dsm-firmenich.com/en/sustainability.html

⁴² ⁵² ⁵⁵ ESG Portal | Sustainability - Novonesis

https://www.novonesis.com/en/sustainability/esg-portal

⁵¹ Novozymes A/S ESG Ratings: MSCI AAA, Refinitiv 78/100 | KnowESG

https://knowesg.com/esg-ratings/novozymes-a-s

⁵⁸ ⁶⁵ ⁶⁶ ⁶⁸ Chr. Hansen takes top spot in global sustainability rankings | 2019-01-23 | Food Business News

https://www.foodbusinessnews.net/articles/13199-chr-hansen-takes-top-spot-in-global-sustainability-rankings